

CHAPTER 2

Coffee Can Investing

‘For indeed, the investor’s chief problem—and even his worst enemy—is likely to be himself.’

—Benjamin Graham, *The Intelligent Investor* (1949)¹

Framing the investment problem properly

Sir Isaac Newton was one of the smartest people ever. But being a smart physicist is not necessarily the same thing as being a smart investor. Unfortunately, Newton learned this the hard way. In an updated and annotated text of Benjamin Graham’s classic, *The Intelligent Investor*, Jason Zweig included an anecdote about Newton’s adventurous investing in the South Sea Company:

Back in the spring of 1720, Sir Isaac Newton owned shares in the South Sea Company, the hottest stock in England. Sensing that the market was getting out of hand, the great physicist muttered that he ‘could calculate the motions of the heavenly bodies, but not the madness of the people’. Newton dumped his South Sea shares, pocketing a 100 per cent profit totalling £7,000. But just months later, swept up in the wild enthusiasm of the market, Newton jumped back in at a much higher price—and lost £20,000 (or more than \$3 million in [2002–03’s] money). For the rest of his life, he forbade anyone to speak the words ‘South Sea’ in his presence.

Sir Isaac Newton’s experience back in the eighteenth century is not too dissimilar to what most stock market investors have faced in India. Newton obviously wasn’t unintelligent. Neither is Mr Talwar, nor is Mr Sanghvi. Newton invented calculus and conceptualized the path-breaking laws of